

July 13, 2026 09:38 PM GMT

Tesla Inc | North America

2Q26 Preview: Show Us the Bots

WHAT'S CHANGED

Tesla Inc (TSLA.O)	From	To
Price Target	\$415.00	\$417.00

Strong auto and energy deliveries improve near-term fundamentals, but we continue to believe Robotaxi and Optimus will be the primary drivers for the stock. Into earnings we expect constructive updates across both, though likely not enough to drive a decisive re-rating. Reiterate EW; PT to \$417

Strong auto and energy deliveries set Tesla up for a solid quarter, but we believe the key investor debate remains unchanged: can Robotaxi and Optimus progress quickly enough to justify an accelerating AI investment cycle? As capex more than doubles and free cash flow turns negative, investors are increasingly focused on evidence that Tesla's spending is strengthening its physical AI moat. In 2Q, we expect updates on **(i)** Optimus Gen 3 validation and production scaling, **(ii)** a potential expansion of target launch cities for Robotaxi, **(iii)** Cybercab manufacturing readiness and efficiency, and **(iv)** the duration of Tesla's current capex cycle. While deliveries have improved sentiment toward the auto business, we expect physical AI to remain the primary determinant of share performance.

Where we stand vs. consensus ([Exhibit 1](#)):

- **Auto gross margin (ex-ZEV credit):** For 2Q26, MSe of 18.1% vs. consensus of 18.0%. For 2026, MSe of 17.9% vs. cons of 17.8%.
- **Energy:** For 2026, we forecast storage deployments **+24%** Y/Y to 57.7 GWh vs. cons. of 60.0 GWh. For 2Q / 2026 gross margins, we forecast 28.0% / 29.1% vs. consensus of 30.2% / 31.2%.
- **FSD:** We assume global attach rate increases to 15.0%, or 1.48m subscribers, by year end, up from the 1.28mn disclosed as of 1Q26 earnings. Approval in Europe and China, and launch of Unsupervised FSD, will be key in driving higher penetration over time.
- **Capex/FCF:** We currently estimate \$26.8bn of capex and \$11.4bn of FCF burn in 2026, relatively in line with the company's guidance of >\$25bn capex and confirmation on the 1Q earnings call that it expects negative FCF for the rest of the year. Our figures do not yet include potential upside from a larger solar buildout or scaled Terafab capacity; if either is added, capex could move higher, with the impact depending on timing, scope, and capacity plans.

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Tesla Inc (TSLA.O, TSLA US)

Autos & Shared Mobility | United States of America

Stock Rating	Equal-weight
Industry View	In-Line
Price target	\$417.00
Shr price, close (Jul 10, 2026)	\$407.76
Mkt cap, curr (mm)	\$1,442,655
52-Week Range	\$498.83-297.82

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$)**	1.67	2.20	2.50	3.11
Prior EPS (\$)**	-	1.95	2.37	3.01
ModelWare EPS (\$)	1.07	1.00	1.35	1.97

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Exhibit 1: MSe vs Consensus

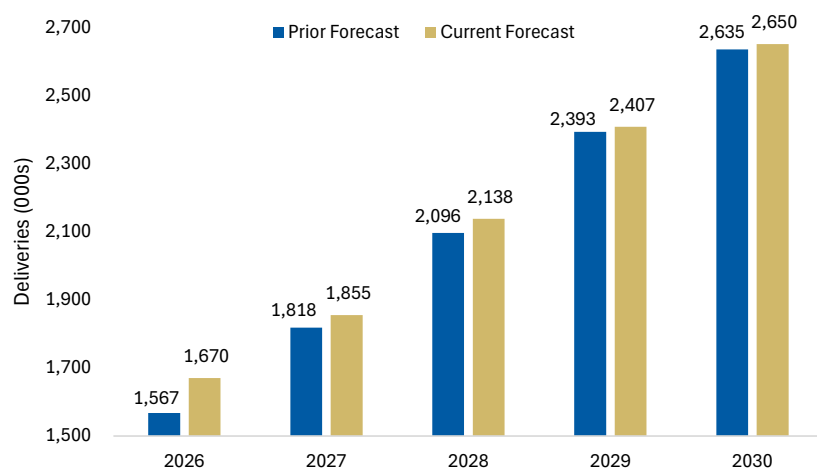
	2Q26			2026		
	MSe	Cons	% Diff	MSe	Cons	% Diff
Auto Deliveries	480,126	480,126	0.0%	1,670,463	1,675,775	-0.3%
Model 3/Y	467,762	467,762	0.0%	1,628,960	1,607,365	1.3%
Other	12,364	12,364	0.0%	41,502	68,410	-39.3%
Storage Deployed (GWh)	13.5	13.5	0.0%	57.7	60.0	-3.9%
Revenue	28,363	25,548	11.0%	102,412	103,601	-1.1%
Auto Gross Profit	4,127	3,424	20.5%	14,092	13,630	3.4%
% Margin (excl. Credits)	18.1%	18.0%		17.9%	17.8%	
% Margin (incl. Credits)	19.6%	19.0%		19.5%	19.0%	
Energy Gross Profit	1,008	1,160	-13.2%	4,429	5,017	-11.7%
% Margin	28.0%	30.2%		29.1%	31.2%	
Services & Other Gross Profit	321	306	4.7%	1,309	1,494	-12.4%
% Margin	8.5%	8.0%		8.7%	9.4%	
Total Gross Profit	5,455	4,891	11.5%	19,830	20,141	-1.5%
% Margin	19.2%	19.1%		19.4%	19.4%	
Adj. EBITDA	4,600	3,970	15.9%	16,181	15,646	3.4%
% Margin	16.2%	15.5%		15.8%	15.1%	
EPS	\$0.69	\$0.49	41.3%	\$2.20	\$1.94	13.4%
FCF	(2,966)	(3,015)	1.6%	(11,432)	(8,136)	-40.5%

Source: FactSet, Visible Alpha, Morgan Stanley Research estimates

Outside of the numbers, four key themes we're tracking through earnings:

1) Auto resurgence – does it matter? We believe the combination of **1)** elevated gas prices, **2)** rebound in Europe volumes vs. easy comps and ahead of potential EU FSD approval, and **3)** potential tailwinds from HW3 trade ins aided **strong 2Q auto deliveries**. Anticipation for improvements to FSD technology along with the newly announced **Model YL release in the US** are likely to continue to support volumes this year and into 2027. As a result, we increase auto volume forecasts in 2026 and 2027 to 1.67mn / 1.86mn from 1.57mn / 1.82mn previously.

The question will turn to whether it's enough to reinvigorate investor interest in the core auto business. Tesla shares traded lower on the 2Q delivery result, which was 18% above sell-side consensus expectations and the highest auto growth rate since 3Q23. Nevertheless, stability in this core segment, which still represents ~70% of total company revenues, is crucial to afford investors the flexibility to place higher probabilities on Tesla's success in larger TAMs in physical AI (Robotaxi and Optimus).

Exhibit 2: Modestly Increasing Auto Delivery Forecasts

Source: Morgan Stanley Research estimates

2) Pulse Check on Autonomy.

TSLA FSD hit a key autonomy milestone in 2Q; can the momentum continue? We look to an update on Unsupervised FSD, v15 rollout, and global approval. Based on Tesla's [public tracker](#), FSD passed the 10bn miles driven milestone on May 3rd, weeks ahead of expectations as FSD miles accelerated. This represents an important milestone on Tesla's path toward Unsupervised FSD, alongside the consequential task of scaling an unsupervised robotaxi fleet. Per our assumptions, Tesla owners are now driving ~26.7mn miles/day with FSD (up from 18.5m miles/day in April).

We continue to track this metric as it has bearings on FSD adoption (both via new subscribers and existing subscribers using the technology more frequently) which at a ~90% GM can uplift profitability and give credence to Tesla's autonomous tech as it scales its unsupervised robotaxi fleet, though would note that Elon Musk has pushed timelines for unsupervised FSD for consumer TSLA vehicles to 4Q26 at the earliest, per the 1Q earnings call. **We also wait for an update on FSD v15, which is seen as a pivotal model to enable scaled unsupervised robotaxi and personal unsupervised FSD.** Finally, we're watching for China and broader EU approval after a handful of European countries approved the tech within the quarter.

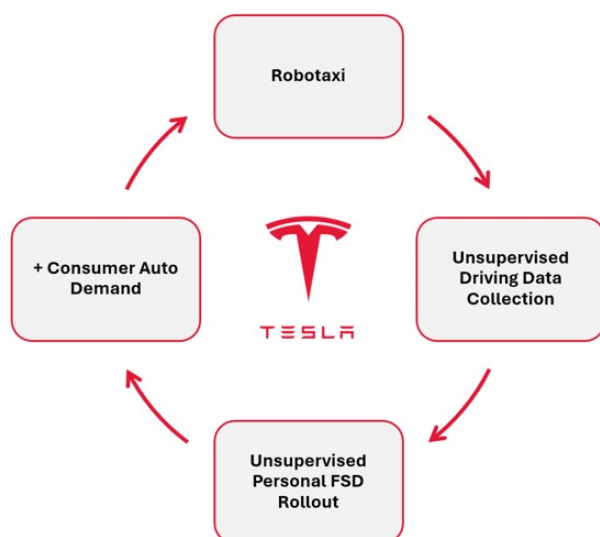
In a year when capex is set to more than double and FCF is flipping negative, we believe Tesla's ability to demonstrate tangible progress in scaling unsupervised autonomous driving capabilities will be critical in supporting valuation.

Robotaxi ramp? Tesla [launched](#) robotaxi Miami (including unsupervised vehicles) on Friday, July 3rd – notably the first launch outside of Texas that started without a safety monitor in the vehicle. Miami was listed as "preparations underway" in the 1Q26 slide deck, along with Phoenix, Orlando, Tampa, and Las Vegas. We expect Tesla to launch in all of these metro areas by year-end. Additionally, there have been some sightings of presumed robotaxi test vehicles in New Orleans (not confirmed by the company), which was not one of the cities listed as being in the preparation stage in the last earnings presentation. We forecast 1,500 robotaxis (supervised + unsupervised) in the fleet by year-end, ramping to 30,000 by 2030. While the absolute number of robotaxis is likely immaterial to earnings this year, the rate of

change in the rollout provides more clarity for investors who may be skeptical about Tesla's autonomous technology at scale.

Cybercab targets industry-high battery efficiency. Tesla released its [2025 Impact Report](#), which among other innovative energy solutions like waste heat recovery and battery material recycling, detailed the technological innovations in Cybercab. We published about Tesla ushering in the manufacturing of the future with reaction injection molding ('RIM') and the modular unboxed architecture following our March Giga Texas tour: [Tesla Inc: Unlocking the Robotaxi Flywheel \(18 Mar 2026\)](#). **What was new in the report was the target for battery efficiency, at 6.1 miles/KWh, a meaningful increase from 5.5mi/KWh we have modeled**, above the Model Y AWD at 4.3/KWh, and above the industry high Lucid Air Pure at 5.0mi/KWh, which has a starting MSRP of \$71,000.

Exhibit 3: Tesla Robotaxi Flywheel



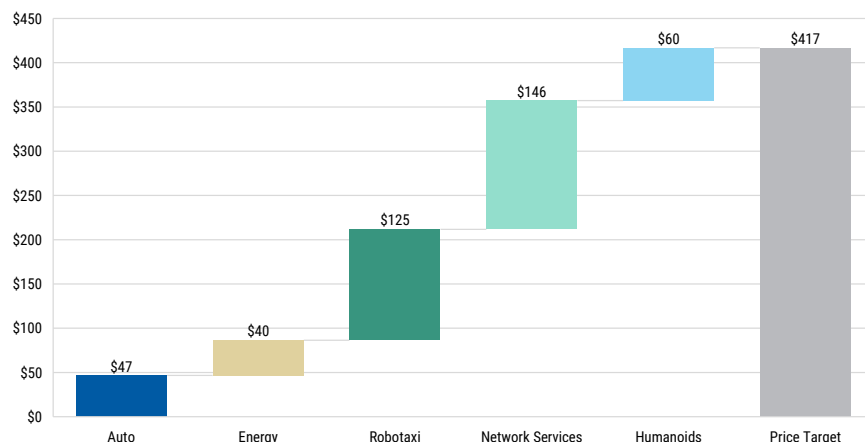
Source: Morgan Stanley Research

3) Optimus momentum appears to be building. Recent reporting highlights Tesla has begun issuing specific procurement guidance for Optimus components, requesting suppliers to ramp up production capacity to ~1,000 units per week by September and 2,000-2,500 units per week by the end of the year. With 2Q earnings, we expect the company to provide an update on the final design, production ramp cadence, and early use case opportunities across Tesla's manufacturing footprint. A complete unveil of the product is less likely, in our view, based on recent commentary from Elon Musk.

4) Are the Capex Revisions Done? We think so, for now. We do not expect another meaningful increase in the capex guide for this year (we forecast \$26.8bn in 2026), but we are looking for more clarity on the duration of this capex cycle. As discussed in some of our prior work, [we estimate 100 GW of solar manufacturing](#) could require \$30-\$40bn of capex, over four years, [while a chip fab would require ~\\$2.75bn of capex/GW](#), depending on the final capex split between TSLA and SPCX. See: [SpaceX: AI's Final Frontier; Initiate at Overweight, PT \\$300 \(7 Jul 2026\)](#).

Changes to estimates and valuation. We have increased our 2026 adj. EBITDA forecast by 5%, reflecting the better than expected 2Q auto and ESS deliveries, driving upside to 2H numbers as we assume some of this demand strength continues. As a result, our DCF-derived valuation for TSLA's Auto business increases to \$47 (from \$45), while our Network Services valuation (a function of TSLA vehicles on road x services attach rate) increases to \$146 (from \$144). Our Energy, Robotaxi, and Humanoids valuations remain broadly unchanged.

Exhibit 4: Tesla SOTP



Source: Morgan Stanley Research estimates

Exhibit 5: Changes to Estimates

Income Statement (\$MM)	New	2Q26e Old	Δ	New	2026e Old	Δ	New	2027e Old	Δ
Revenue									
Auto	21,010	17,604	19.3%	72,158	66,660	8.2%	77,732	74,980	3.7%
Energy + Services and Other	7,353	6,844	7.4%	30,254	29,734	1.7%	39,854	39,507	0.9%
ZEV Credit	384	331	16.2%	1,430	1,348	6.1%	1,113	1,091	2.0%
Total Revenue	28,363	24,448	16.0%	102,412	96,395	6.2%	117,586	114,487	2.7%
COGS									
Auto	16,883	14,292	18.1%	58,066	53,684	8.2%	62,941	60,759	3.6%
Energy + Services and Other	6,025	5,658	6.5%	24,516	24,141	1.6%	32,695	32,435	0.8%
Gross Profit									
Auto Gross Profit	4,127	3,312	24.6%	14,092	12,976	8.6%	14,791	14,221	4.0%
% Gross Margin	19.6%	18.8%	0.8%	19.5%	19.5%	0.1%	19.0%	19.0%	0.1%
% Gross Margin (ex. ZEV)	18.1%	17.3%	0.9%	17.9%	17.8%	0.1%	17.9%	17.8%	0.1%
Energy + Services and Other Gross Profit	1,329	1,186	12.0%	5,738	5,593	2.6%	7,159	7,072	1.2%
% Gross Margin	18.1%	17.3%	0.7%	19.0%	18.8%	0.2%	18.0%	17.9%	0.1%
Total Gross Profit	5,455	4,498	21.3%	19,830	18,569	6.8%	21,950	21,293	3.1%
% Gross Margin	19.2%	18.4%	0.8%	19.4%	19.3%	0.1%	18.7%	18.6%	0.1%
R&D									
% of Sales	2,026	1,986	2.0%	7,889	7,764	1.6%	8,442	8,385	0.7%
SG&A	7.1%	8.1%	-1.0%	7.7%	8.1%	-0.4%	7.2%	7.3%	-0.1%
% of Sales	1,985	1,956	1.5%	7,750	7,754	0.0%	7,937	8,014	-1.0%
RX	7.0%	8.0%	-1.0%	7.6%	8.0%	-0.5%	6.8%	7.0%	-0.3%
	0	0	0.0%	0	0	0.0%	0	0	0.0%
Operating Income	1,444	556	159.7%	4,191	3,051	37.4%	5,572	4,893	13.9%
% Margin	5.1%	2.3%	2.8%	4.1%	3.2%	0.9%	4.7%	4.3%	0.5%
Adjusted EBITDA	4,600	3,798	21.1%	16,181	15,418	4.9%	17,784	17,865	-0.5%
% Margin	16.2%	15.5%	0.7%	15.8%	16.0%	-0.2%	15.1%	15.6%	-0.5%
SBC	1,103	1,084	1.8%	4,292	4,258	0.8%	4,095	4,100	-0.1%
Interest Expense	(342)	(342)	0.0%	(1,248)	(1,257)	-0.7%	(991)	(998)	-0.7%
Other expense / (income), net	0	0	NA	(535)	(535)	0.0%	0	0	NA
Pre-Tax Earnings	1,766	898	96.3%	4,904	3,773	30.0%	6,563	5,891	11.4%
Income Tax	452	221	104.4%	1,316	1,022	28.8%	1,694	1,519	11.5%
% Tax Rate	25.3%	24.6%	0.7%	26.8%	27.1%	-0.2%	25.8%	25.8%	0.0%
Net loss contributable to NCI	(12)	(12)	0.0%	(50)	(50)	0.0%	(53)	(53)	0.0%
Net Income	1,322	665	98.8%	3,538	2,702	31.0%	4,816	4,319	11.5%
GAAP Diluted EPS	\$0.37	\$0.19	98.8%	\$1.00	\$0.76	31.0%	\$1.35	\$1.21	11.5%
Non-GAAP Diluted EPS	\$0.69	\$0.50	38.7%	\$2.20	\$1.95	12.6%	\$2.50	\$2.37	5.8%
Diluted Common Shares Outstanding	3,528	3,528	0.0%	3,532	3,532	0.0%	3,558	3,558	0.0%
Free Cash Flow	(2,966)	(3,355)	NA	(11,432)	(11,467)	NA	(5,244)	(4,486)	16.5%
Capital Expenditures	6,000	6,000	0.0%	26,777	26,261	2.0%	19,350	19,100	1.3%

Source: Morgan Stanley Research estimates

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Tesla Inc TSLA.O		
Auto Gross Margin ex credits	↑ Likely upside surprise	↑ Modest revision higher

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Risk Reward – Tesla Inc (TSLA.O)

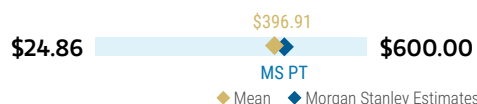
AI Optionality Offset by Near-Term Auto Headwinds, Full Valuation

PRICE TARGET \$417.00

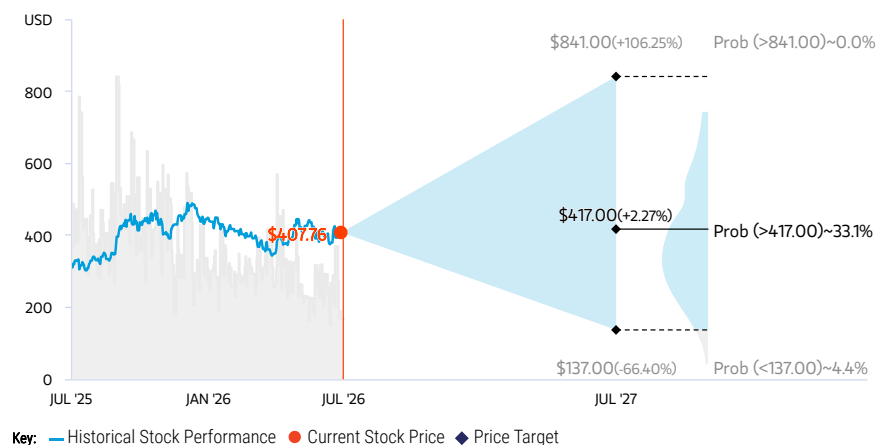
Our PT of \$417 is comprised of 5 components: (1) \$47/share for core Tesla Auto business on ~8.5mm units in 2040, 9.7% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at \$146/share, 80% attach rate at \$240/month ARPU by 2040 (3) Tesla Mobility at \$125/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. (4) Energy at \$40/share, and (5) Humanoids at \$60/share (50% probability discount).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



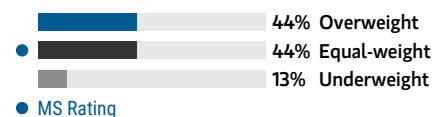
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 10 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- **Leader in Physical AI.** Tesla under Elon Musk's leadership is poised to be a market leader across autonomous mobility, renewable energy, and robotics.
- **Network Services the Crown Jewel.** We believe TSLA can leverage its EV cost leadership to expand user base and generate a higher % of revenue from recurring/high-margin software & services.
- **AI optionality offset by cautious EV outlook and balanced Risk Reward skew near-term.** We include Autos, Network Services, Energy, Mobility, and Optimus in our \$417 PT, with Bear Case \$137, Bull Case \$841.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
Secular Growth: Positive
Electric Vehicles: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$841.00

~78x 2030e EV/EBITDA

For core auto, we assume TSLA is able to deliver ~12.5mm units by 2040 with ~14.3% EBIT margin (ex-FSD), implying ~\$86/share. Tesla Network Services valued at \$260/share, on 90% attach rate at ~\$250 Monthly ARPU by 2040. We value TSLA Mobility at \$206/share with 8.5mn fleet and 30% EBITDA margin in 2040. For Energy, \$80/share (21% 15yr rev CAGR and 21% terminal EBIT margin). Tesla Humanoids at \$208/share (0% probability discount).

BASE CASE

\$417.00

~53x 2030e EV/EBITDA

Our PT of \$417 is comprised of 5 components: (1) \$47/share for core Tesla Auto business on ~8.5mm units in 2040, 9.9% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at \$146/share, 80% attach rate at \$240/month ARPU by 2040 (3) Tesla Mobility at \$125/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. (4) Energy at \$40/share, and (5) Humanoids at \$60/share (50% probability discount).

BEAR CASE

\$137.00

~28x 2030e EV/EBITDA

Our \$137 bear case ascribes \$23/share for automotive which assumes ~6.0mn units by 2040 at a 4.8% EBIT margin (ex-FSD). Tesla Network Services at \$52/share (60% attach rate at \$200 Monthly ARPU by 2040). Other value is ascribed to Tesla Mobility at \$43/share on a 2mn car fleet and ~40% EBITDA margin by 2040, and Tesla Energy at \$18/share (14% 15 yr rev CAGR and 13% terminal EBIT margin). Humanoids at \$0/share.

Risk Reward – Tesla Inc (TSLA.O)

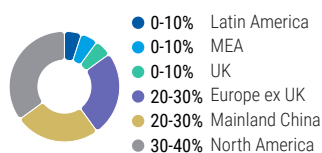
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Deliveries (000s)	1,636	1,670	1,855	2,138
Total Revenue (\$, mm)	94,827	102,412	117,586	140,730
Auto Gross Margin (%)	17.8	19.5	19.0	18.5
Free Cash Flow (\$, mm)	6,220	(11,432)	(5,244)	1,654
Net Debt (Cash) (\$, mm)	(35,683)	(22,708)	(17,446)	(19,081)

INVESTMENT DRIVERS

- Robotaxi city launches
- Advancements in FSD
- New Model announcements
- Emerging Competition (from traditional OEMs, startups, & large tech firms)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increased FSD attach rate / unsupervised FSD
- Cost milestones on new battery
- New model intro (Roadster, multivan)
- Robotaxi rollout
- Optimus announcement

RISKS TO DOWNSIDE

- Competition: legacy OEMs/Chinese players/big tech in Autos and Robotics
- Execution risk across robotaxi/FSD/humanoid
- Regulatory
- China risk
- Dilution
- Valuation

OWNERSHIP POSITIONING

Inst. Owners, % Active	43.3%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	11.1%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (\$, mm)	72,260	117,586	169,193
		117,163	

EBIT (\$, mm)	4,235	5,572	12,652
		8,063	

EPS (\$)	1.20	2.50	3.98
		2.55	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

Space Exploration Technologies Corp. (SPCX.O)

Sum-of-the-Parts by Segment: Space, Connectivity, AI (Divided into X & Grok and Enterprise AI)

- \$300 Price Target = sum of Space (\$8), Connectivity (\$128), X & Grok (\$12), Enterprise AI (\$152)

2040 ending forecast period

6/30/2027 valuation date

11.1% WACC; 11.9% Cost of Equity

50% Enterprise AI valuation discount for execution risk

TGR of: 4.0% Space, 4.5% connectivity, 3.0% X & Grok, 5.0% Enterprise AI

Equates to 0.41 EV/EBIT/Growth

Risks to Upside

- Faster Starship reuse progress
- Faster Starlink capacity growth
- Stronger DTC / enterprise adoption
- More neocloud wins
- Cursor ARR acceleration
- Lower AI infrastructure time to power and cost

Risks to Downside

- Slower Starship reuse cadence
- Slower Starlink subscriber growth
- Weaker enterprise AI monetization
- Higher capex / cost per watt of compute
- Longer time-to-power
- Greater funding needs / dilution
- Regulatory delays

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

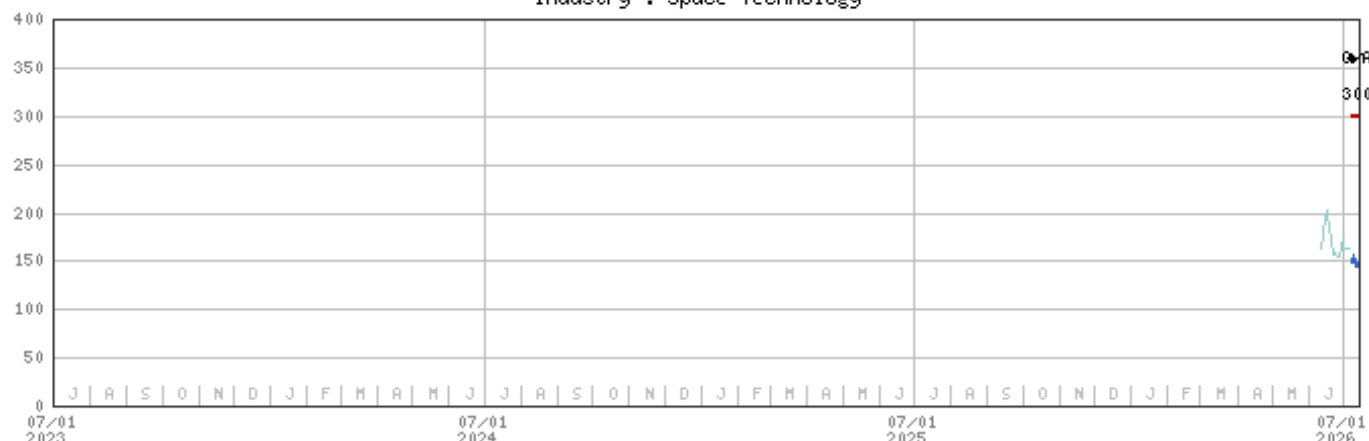
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Space Exploration Technologies Corp. (SPCX.O) - As of 07/13/26 GMT in USD
Industry : Space Technology



Stock Rating History: 7/7/26 : 0/A

Price Target History: 7/7/26 : 300

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Tesla Inc (TSLA.O) - As of 07/13/26 GMT in USD
Industry : Autos & Shared Mobility



Stock Rating History: 7/1/21 : 0/I; 6/22/23 : E/I; 9/10/23 : 0/I; 3/13/24 : 0/A; 9/25/24 : 0/I; 12/7/25 : E/I

Price Target History: 4/22/21 : 300; 10/24/21 : 400; 1/10/22 : 433.33; 6/22/22 : 400; 7/14/22 : 383.33; 8/25/22 : 383; 10/10/22 : 350; 10/24/22 : 330; 12/28/22 : 250; 1/25/23 : 220; 4/20/23 : 200; 6/22/23 : 250; 9/10/23 : 400; 10/19/23 : 380; 1/22/24 : 345; 3/5/24 : 320; 4/4/24 : 310; 12/10/24 : 400; 1/13/25 : 430; 3/20/25 : 410; 12/7/25 : 425; 1/29/26 : 415

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Andrew S Percoco		
Adient PLC (ADNT.N)	E (12/07/2025)	\$19.20
Aptiv Plc (APT.V.N)	O (05/07/2026)	\$59.23

Avis Budget Group Inc (CAR.O)	E (12/07/2025)	\$156.19
BorgWarner Inc. (BWA.N)	E (12/07/2025)	\$63.64
Dauch Corporation (DCH.N)	E (12/07/2025)	\$5.12
Ford Motor Company (F.N)	E (09/25/2024)	\$13.85
General Motors Company (GM.N)	O (12/07/2025)	\$76.72
Hertz Global Holdings Inc (HTZ.O)	E (02/08/2024)	\$2.05
Lear Corporation (LEA.N)	E (12/07/2025)	\$135.30
Lucid Group Inc (LCID.O)	U (12/07/2025)	\$5.55
Magna International Inc. (MGA.N)	E (09/25/2024)	\$64.07
Mobileye Global Inc (MBLY.O)	E (08/02/2024)	\$9.55
Quantumscape Corp (QS.O)	E (12/07/2025)	\$6.58
Rivian Automotive, Inc. (RIVN.O)	U (12/07/2025)	\$17.48
Tesla Inc (TSLA.O)	E (12/07/2025)	\$407.76
Versigent Ltd (VGNT.N)	O (05/07/2026)	\$40.63
Visteon Corporation (VC.O)	E (06/01/2022)	\$106.58
Daniela M Haigian		
Asbury Automotive Group Inc (ABG.N)	E (09/25/2024)	\$210.73
AutoNation Inc. (AN.N)	O (09/25/2024)	\$193.43
Carmax Inc (KMX.N)	E (11/10/2025)	\$54.87
Carvana Co (CVNA.N)	O (08/07/2025)	\$64.99
Group 1 Automotive, Inc (GPI.N)	O (09/25/2024)	\$295.66
Lithia Motors Inc. (LAD.N)	E (09/25/2024)	\$317.96
Penske Automotive Group, Inc (PAG.N)	O (09/25/2024)	\$193.22
Sonic Automotive Inc (SAH.N)	E (09/25/2024)	\$90.51
Javier Martinez de Olcoz Cerdan		
Goodyear Tire & Rubber Company (GT.O)	U (09/28/2025)	\$6.81

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Space Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Adam Jonas, CFA		
Space Exploration Technologies Corp. (SPCX.O)	O (07/07/2026)	\$145.30
Justin M Lang		
Gogo Inc (GOGO.O)	E (08/14/2025)	\$3.63
Iridium Communications Inc (IRDM.O)	E (01/16/2026)	\$50.06
MDA Space Ltd (MDA.TO)	O (01/16/2026)	C\$44.68
Viasat Inc (VSAT.O)	E (12/15/2017)	\$73.56
Kristine T Liwag		
Firefly Aerospace Inc (FLY.O)	E (09/02/2025)	\$24.09
Planet Labs PBC (PL.N)	E (01/22/2023)	\$25.96
Rocket Lab USA Inc (RKL.B.O)	O (01/16/2026)	\$81.04
Virgin Galactic Holdings Inc (SPCE.N)	U (11/22/2023)	\$2.42
Voyager Technologies Inc (VOYG.N)	E (07/07/2025)	\$29.66

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.